

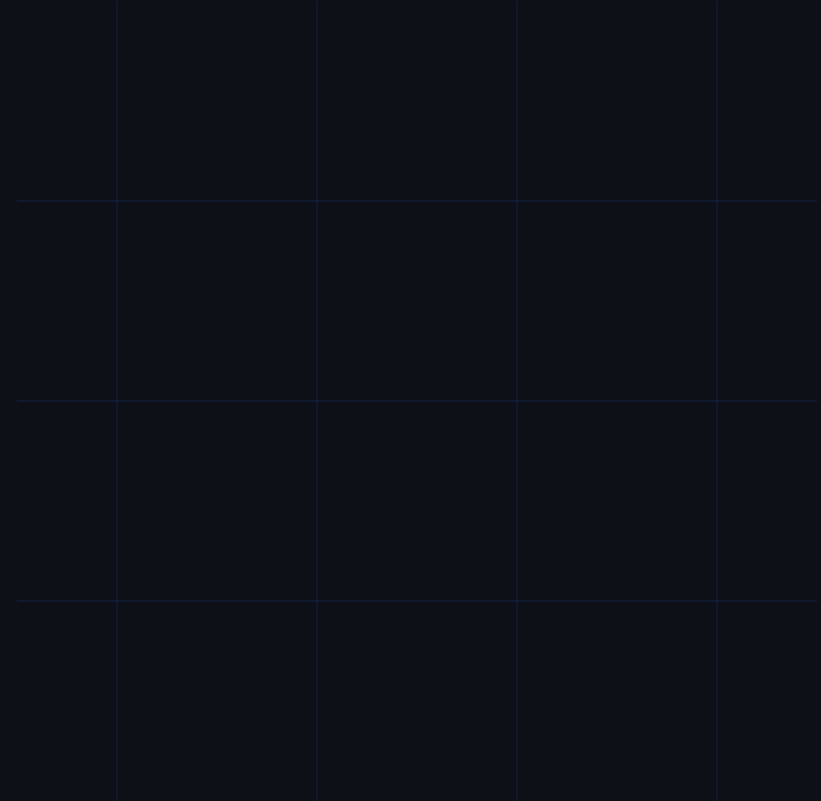


Generative AI's Act Two

From Technology Hammer to Real Value

Sequoia Capital Analysis

Sonya Huang, Pat Grady and GPT-4



Six Decades of Technological Progress Converged

Three foundational technology waves accumulated over decades to create the conditions for generative AI

6

DECADES



Moore's Law

Delivered the compute horsepower to process exaflops of data

4

DECADES



The Internet

Produced trillions of tokens of training data, accelerated by COVID

2

DECADES



Mobile & Cloud

Put a supercomputer in every human's palm

"ChatGPT's launch ignited a Cambrian explosion of innovation not seen since the early internet"

Despite hype-cycle skepticism, generative AI achieved >\$1B startup revenue in months — a milestone SaaS took years to reach

GenAI Startups Surpassed \$1B Revenue Faster Than SaaS Ever Did



ChatGPT

Fastest-growing application
in history

Strong product-market fit among
students and developers

Fastest-Growing App in History



Midjourney

Hundreds of millions in
revenue

Achieved with a team of
just 11 people

11-Person Team



Character.ai

Popularized AI entertainment
and companionship

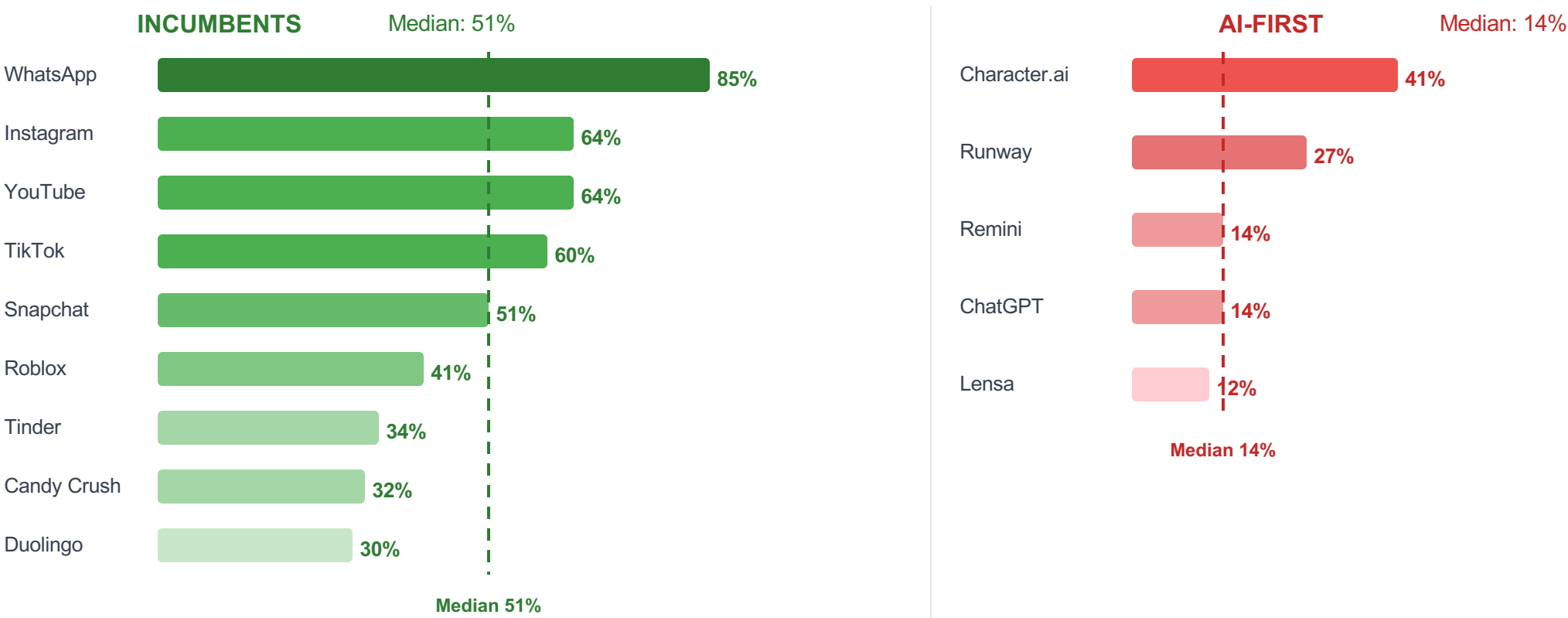
Users spend an average of
2 hours per session in-app

2-Hour Avg Session

>\$1 billion in revenue from startups alone — a milestone that took SaaS years, not months

AI-first apps face a 3.6x retention disadvantage — 14% median vs. 51% for incumbents

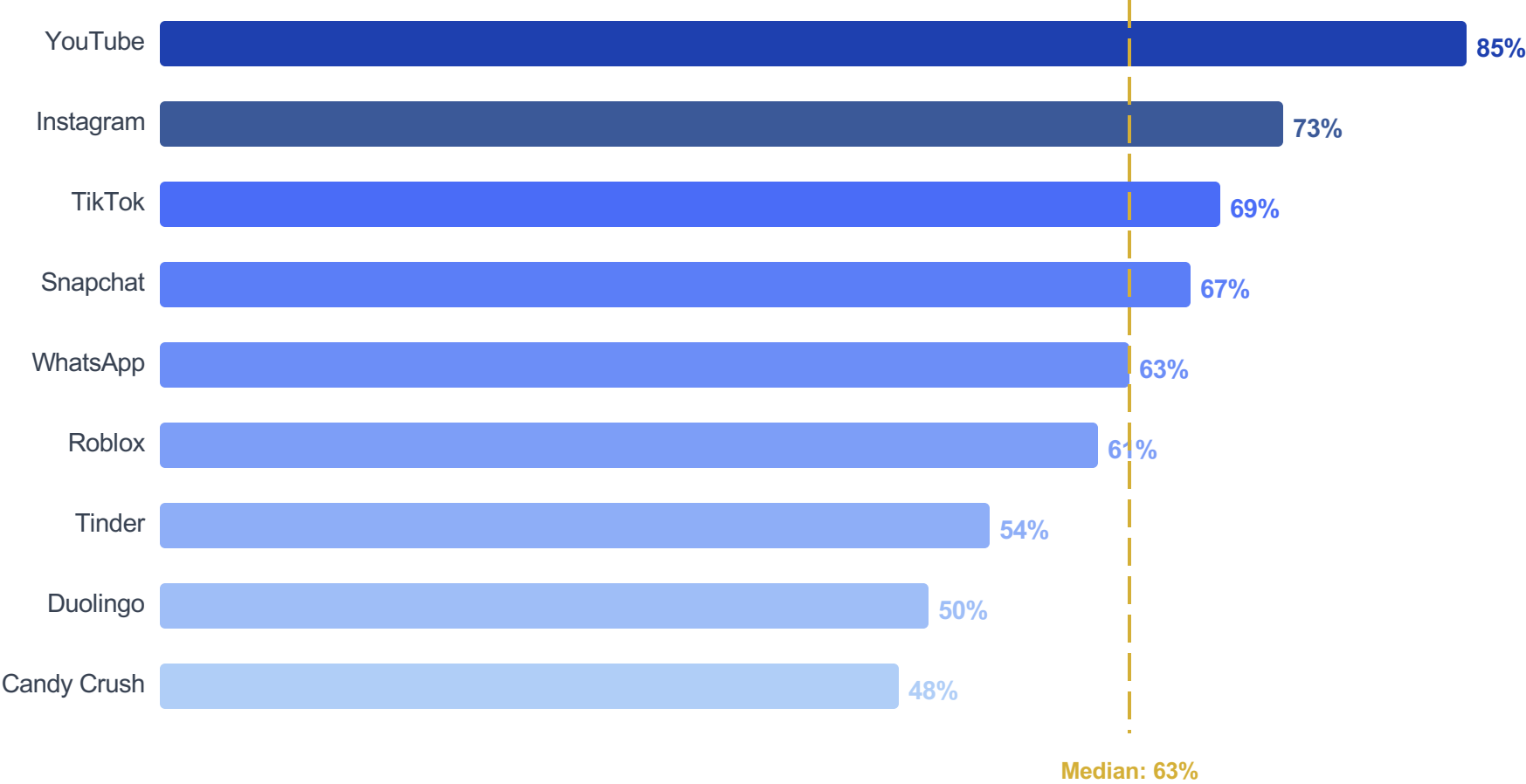
AI-First Apps Show 14% Median Retention vs. 51% for Incumbents



 **3.6x retention gap: AI-first apps must fundamentally rethink product stickiness to compete with incumbents**

Incumbent apps set a high engagement bar — 63% median monthly active usage — that AI apps must clear

YouTube Leads Incumbents at 85% Monthly Active Usage



This is the engagement benchmark AI-first apps must achieve to demonstrate lasting consumer value

The market is shifting from novelty demos (Act 1) to end-to-end solutions that solve real human problems (Act 2)

Act 1 Was Technology-Out; Act 2 Is Customer-Back

ACT 1: Technology-Out

- ⚠ Foundation models as the **entire** solution
- ⚠ Novelty apps / lightweight demos
- ⚠ Thin wrappers on foundation models
- ⚠ Poor retention and stickiness
- ⚠ "Cool technology" searching for a problem

Result: 14% median retention — products fall short

"Every company became an AI copilot"

ACT 2: Customer-Back

- ✓ Foundation models as a **piece** of the solution
- ✓ New editing interfaces for stickier workflows
- ✓ Multi-modal in nature
- ✓ End-to-end problem solving
- ✓ Solving real human problems

Exemplars:

Harvey (Legal) · Glean (Enterprise) · Character & Ava (Companions)

Solving problems end-to-end, not just demoing technology

Market Map Reorganized by Use Case, Not Model Modality



Key Insight

Applications are increasingly multi-modal, making modality-based organization obsolete.

This reorganization mirrors the broader Act 1 → Act 2 transition from technology hammer to actual value delivery.

Key Takeaways: What Separates Winners in Act Two



Retention is the critical challenge

AI-first apps at 14% median vs. 51% for incumbents — a 3.6x disadvantage that must be closed



Foundation models should be a component, not the whole product

Act 2 companies use models as a piece of a more comprehensive, workflow-integrated solution



Multi-modal, workflow-integrated solutions will win

New editing interfaces, end-to-end problem solving, and multi-modal capabilities are the hallmarks



The >\$1B revenue milestone proves real demand exists

Generative AI startups exceeded \$1B in revenue faster than SaaS — commercial traction is real, not just hype



Companies solving end-to-end human problems will define Act 2

Harvey, Glean, Character, and Ava exemplify the customer-back approach that builds lasting value